## Slippage and Commission

For all backtested strategies in this book, I have applied realistic fees and slippage. Commissions for futures trading has gone down quite a bit over the years but it remains a factor which has to be taken into account. In this book, I have assumed a commission of 1 dollar per contract, plus an exchange fee of 1.5 dollars. On top of that, I have also assumed that we always get poor executions, because life tends to have a mean sense of humour. I have applied a volume-based slippage algorithm, which attempts to provide realistic executions based on actual volumes traded in the market. These estimates are never perfect, but you should always try to err on the side of caution and rather overestimate your costs. It's much nicer to get positive surprises in reality.

## Strategy Personality

There is an old industry adage that the way to make money from the markets is to buy low and sell high. This is certainly not how trend-following futures traders operate and you need to get comfortable with a very different way of working. As a trend follower, you will be buying high and selling higher as well as selling low and buying back lower. You will often take positions that seem crazy, such as buying an instrument that already went up 20% in a month and just had a massive spike up, showing extreme overbought readings. When everyone else thinks something has gone so far that it just has to stop and reverse, that is often when you enter.

Trend-following strategies look easy and highly profitable when you look at long-term return charts, but you need to study the shorter term down to daily variations and trades to be able to judge whether you can really follow the strategy in real life. It's a matter of your own personality and whether you could and want to trade in the style that the strategy dictates, and the matter of how your clients will see the results. Many of these strategies have drawdowns of up to 30% and can sometimes take a year or more to recover. If you launch your trading product just before a larger drawdown occurs and you are sitting there half a year later trying to explain to a client why he still has a substantial loss on his investment, you might wish you had chosen a different strategy or a different risk level. But certainly, the more volatile strategies are also the most profitable in the long run and it's all a matter of how much you and your clients can stomach.

In Chapter 4, I describe two trend-following methodologies that are deliberately picked because of their simplicity and widespread usage. These strategies form a good starting point for getting familiar with the principles of